

The Look

Customer & Commercial Performance Analysis

Diagnosing Growth Constraints at **The Look**

A data-driven analysis of customer behavior and growth constraints

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Data Source: The Look E-commerce Dataset

Executive Summary

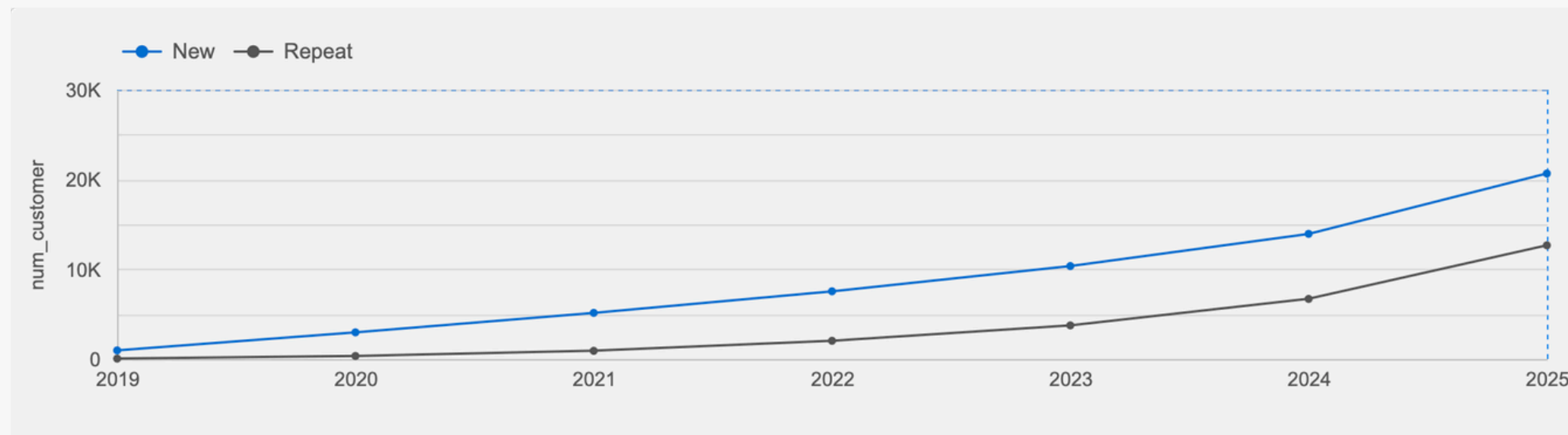
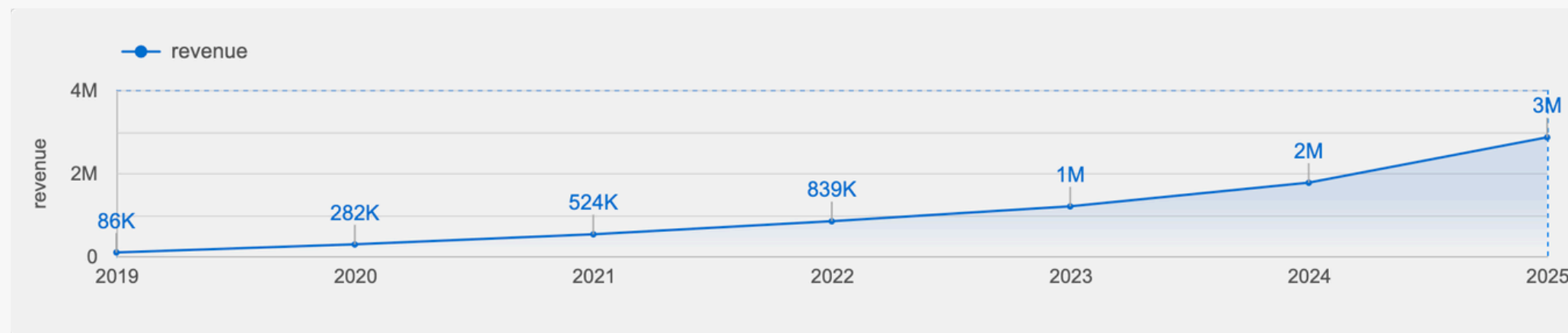
Growth is constrained by **weak retention** and **monetization**, not demand generation

- **Retention is the primary bottleneck** – strong acquisition but rapid early churn limits growth
- **Customer value is under-realized** – low purchase frequency and high returns erode lifetime value
- **Supply is not the issue** – inventory is already aligned with demand

→ Shift focus from acquiring demand to retaining and monetizing it.

Revenue Diagnosis

Revenue growth heavily depended on continued customer acquisition



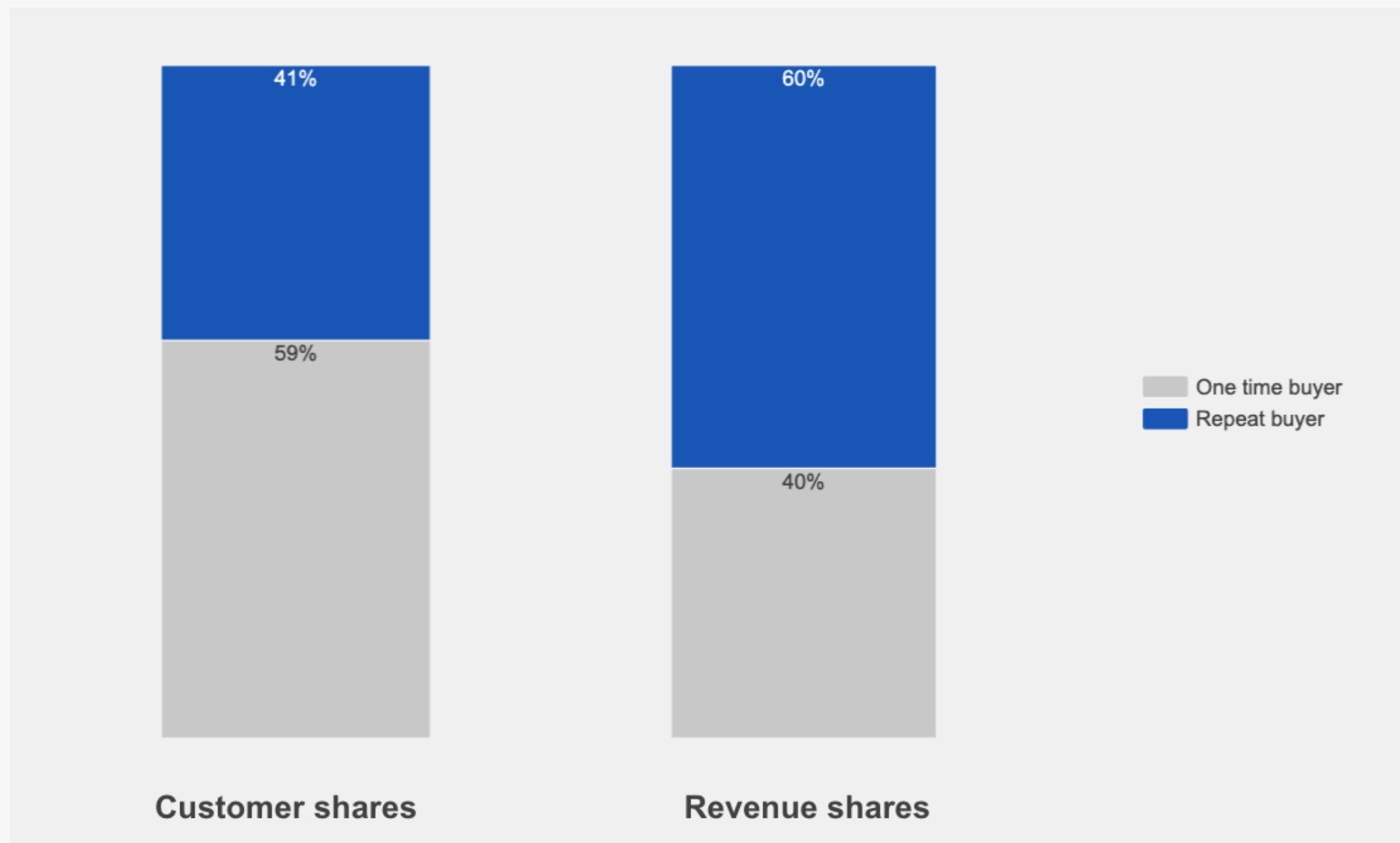
- Customer acquisition remains strong
- Repeat contribution does not scale with the customer base
- Revenue increasingly depends on new users

→ Growth is structurally **unsustainable** without retention improvement.

Revenue acceleration closely mirrors new customer expansion.

Value Concentration

Revenue is disproportionately generated by **repeat customers**



- Repeat users contribute the majority of revenue
- One-time buyers form a large but low-value base

→ Growth depends on **scaling repeat behavior**—not acquisition volume.

Value Driver

Repeat value is driven by **frequency**, not stronger initial purchase behavior

- First-order behavior is comparable across segments
- Value increases through higher purchase frequency and basket expansion

→ Improving repeat frequency is the **primary growth lever**.

Retention Breakdown

Customer retention **collapses shortly** after the first purchase

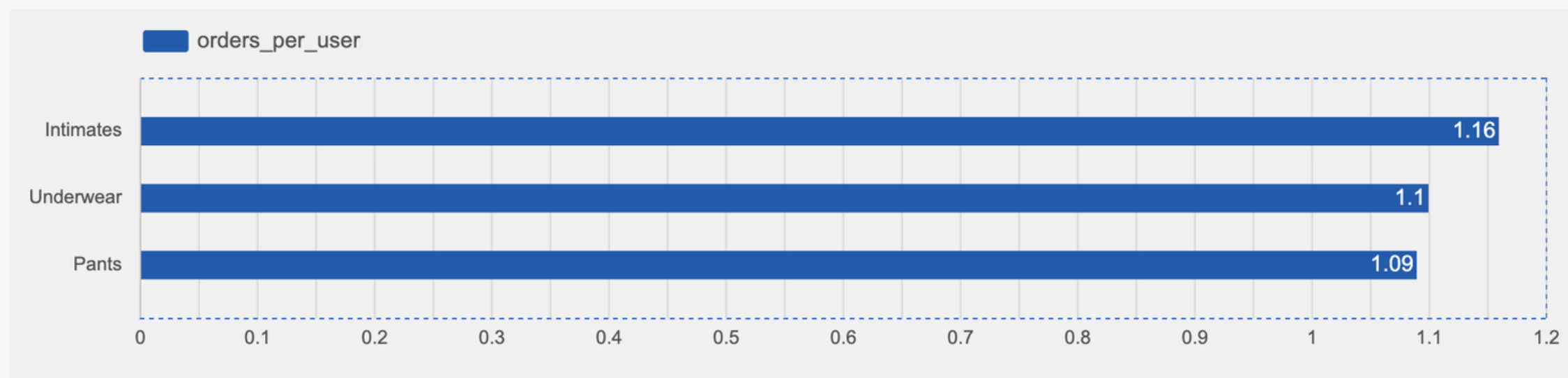
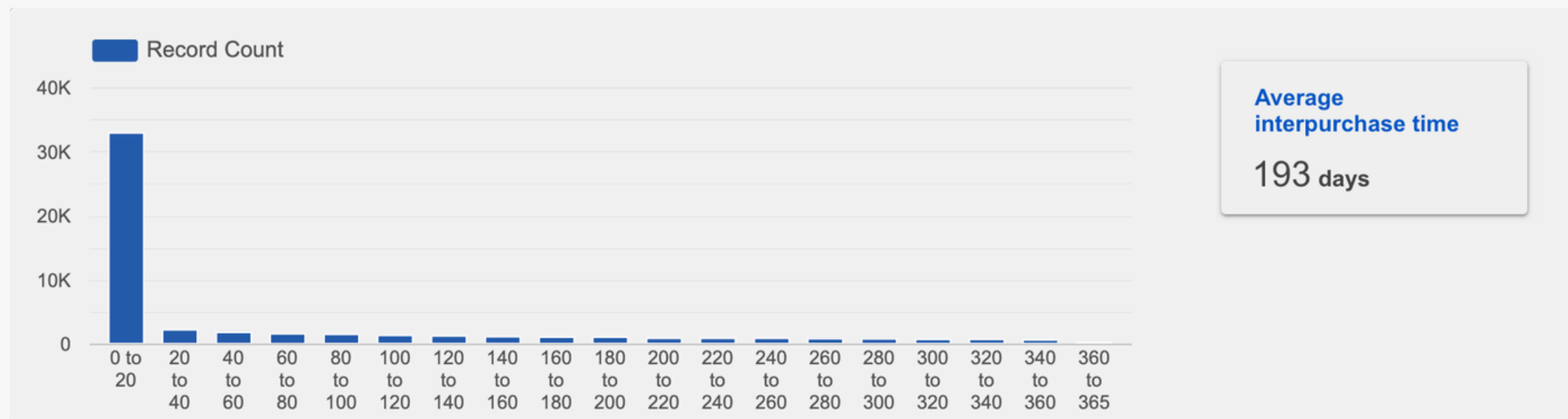
first_purchas...	0	1	2	3	4	5	6	7
January	100.0	4.7	4.4	1.5	1.6	1.7	1.7	1.9
February	100.0	5.4	3.0	1.5	2.4	1.7	1.9	1.7
March	100.0	5.1	2.0	1.6	1.8	1.8	1.4	1.6
April	100.0	3.9	1.6	1.7	1.8	1.9	1.8	1.8
May	100.0	3.9	1.9	1.9	1.8	2.1	1.7	1.9
June	100.0	4.3	1.9	1.8	2.2	1.7	1.9	1.5
July	100.0	3.9	1.9	2.1	1.8	2.0	1.9	1.7
August	100.0	3.8	2.0	2.2	1.8	2.2	2.3	2.3
September	100.0	3.8	2.4	2.2	2.6	1.6	2.1	2.1
October	100.0	4.5	2.4	2.4	2.2	2.4	1.6	1.5
November	100.0	4.5	2.5	2.2	2.0	1.6	1.5	1.8
December	100.0	4.8	2.5	2.8	1.4	1.1	2.2	1.6

- Retention drops sharply after Month 1
- Most cohorts stabilize below 2% retention

→ The business **fails to convert** first-time buyers into repeat customers.

Engagement Intensity

Low purchase frequency **limits** customer lifetime value



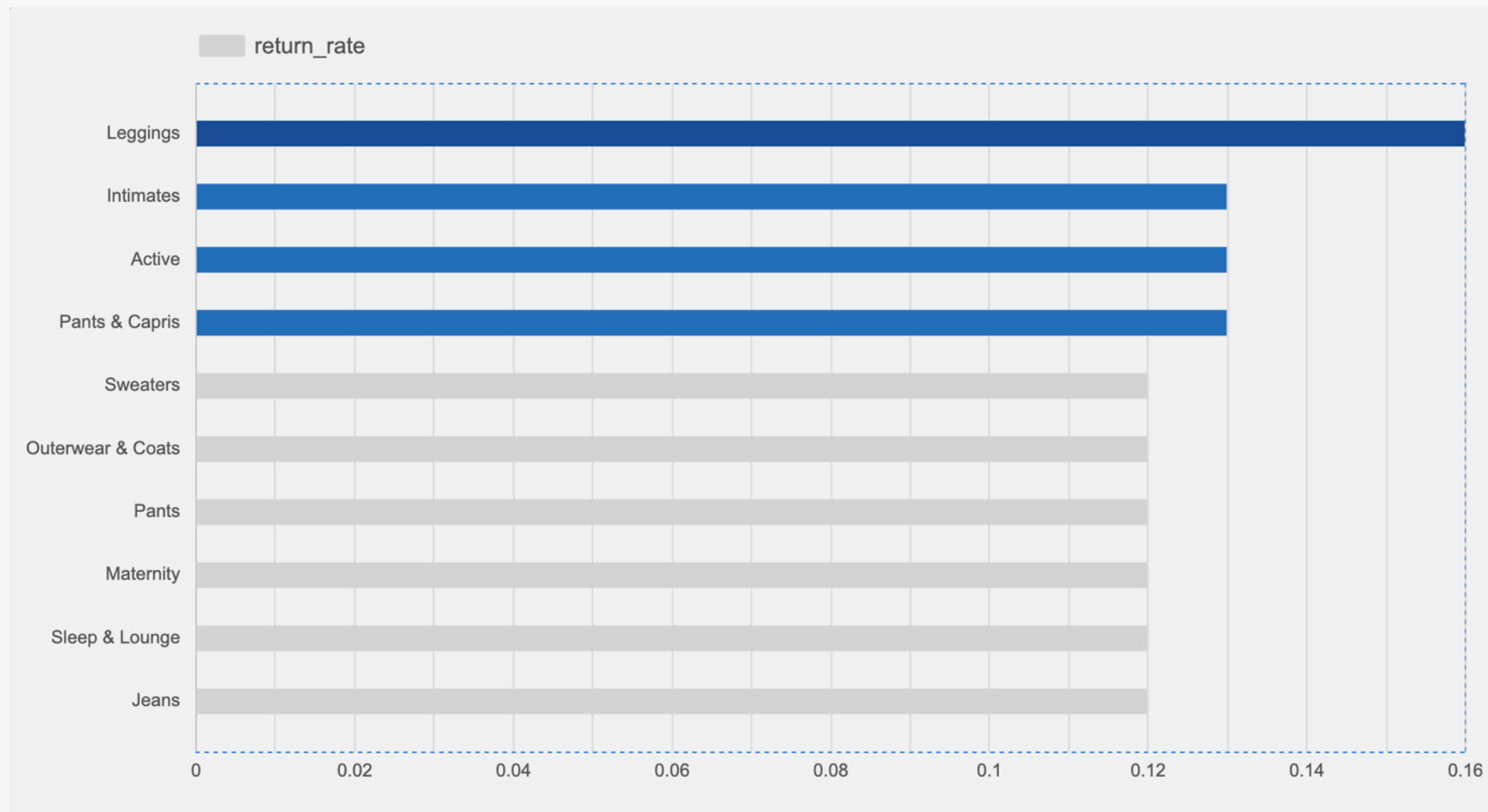
- Long interpurchase cycle (~193 days)
- Low repeat intensity across categories (~1.1 orders/user)

→ Customers engage too

infrequently to generate meaningful value.

Returns Impact

Returns materially **erode** revenue and customer trust

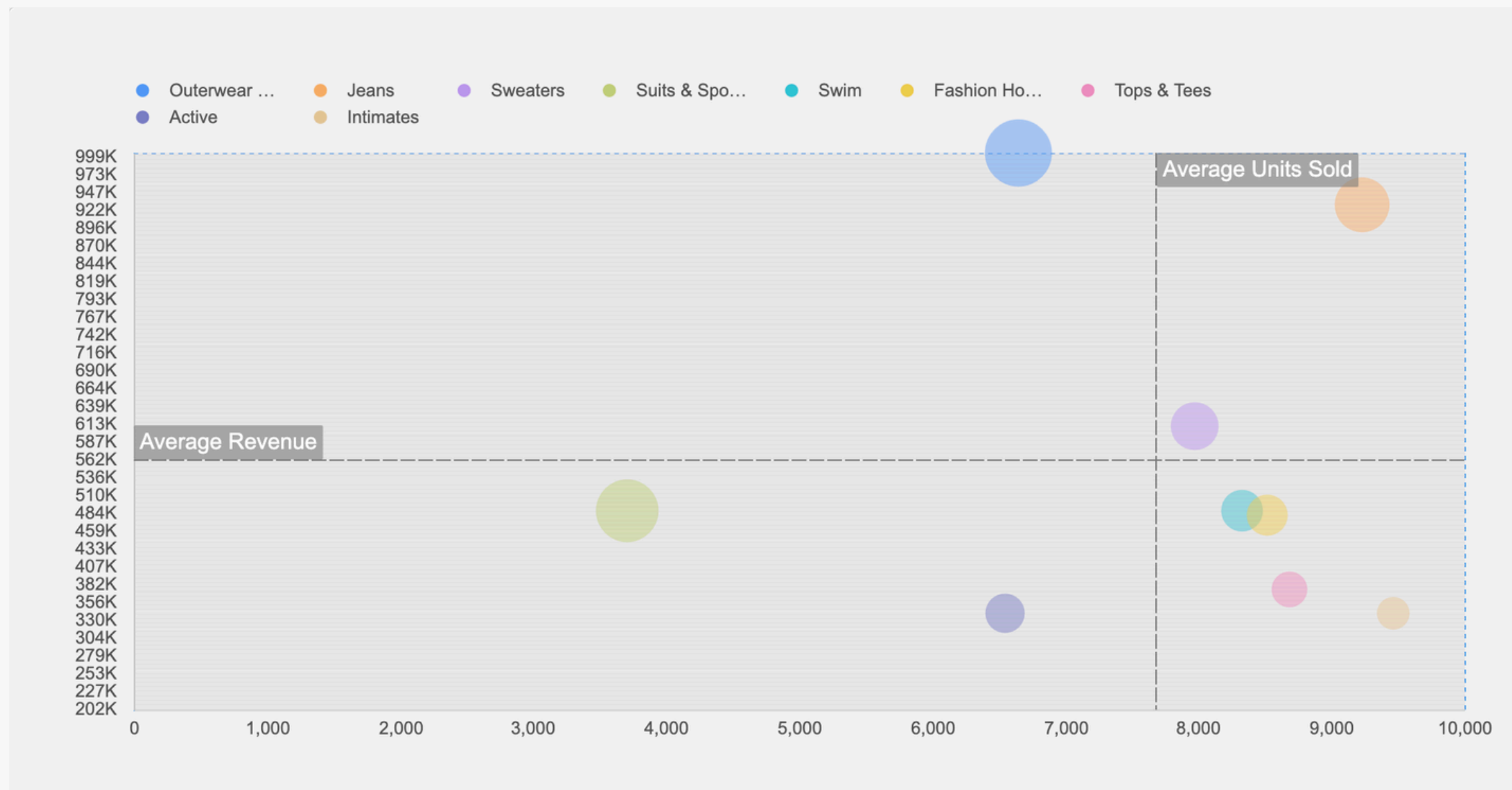


- ~12% of revenue is lost due to returns
- Fit-sensitive categories drive disproportionate return rates

→ **Product experience issues** directly weaken retention and monetization.

Category Monetization

Category performance highlights monetization inefficiencies



- High-volume categories under-monetize demand
- Premium categories remain niche and under-scaled

→ The business **fails to fully capture value** across its assortment.

Supply Check

Inventory is **structurally aligned** with demand

- Inventory share closely matches sales share
- No systemic over- or under-allocation

→ Supply is not constraining growth.

Recommendations

Unlock growth by improving **retention**, **experience**, and **monetization**

1. Increase retention

- Lifecycle engagement and reactivation

2. Reduce returns

- Improve sizing and product clarity

3. Expand monetization

- Bundling, cross-sell, and basket expansion

→ The business must **shift** from demand generation to value capture.